

WRITTEN QUESTIONS (Total: 100 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

Michael is the General Manager of a Hong Kong incorporated private limited company, Win Win Company Ltd. ("WWL"). WWL will hold an annual dinner in a few weeks. Last week, Michael engaged a magician, John, to perform at WWL's annual dinner and placed an order with Goodfit Company Limited ("GCL") for souvenirs with WWL's logo printed on them to be given to the staff of WWL at the annual dinner. When Michael placed the order on behalf of WWL, he stressed that the correct logo must be printed on the souvenirs.

Three days ago, John informed Michael by email that he would not be able to perform in WWL's annual dinner because his legs had been injured when he was attacked by a robber. Michael was extremely upset that John would not be performing at WWL's annual dinner, and Michael was not sure whether he would be able to find someone else to replace John.

Two days ago, the staff of GCL delivered the souvenirs to the office of WWL. To Michael's surprise and dismay, the logo printed on the souvenirs was not WWL's logo.

Required:

In relation to contract law:

- (a) Explain the different ways to discharge a contract.**
(9 marks)
- (b) Analyse whether Michael is entitled to sue John and GCL for damages for breach of contract.**
(4 marks)
- (c) On the basis of your answer in part (b), analyse what remedies are available to WWL against John and GCL, if any.**
(2 marks)

Question 2 (10 marks – approximately 18 minutes)

Strong Iron Company Limited ("SIL") is a supplier of sheet iron and is a private limited company incorporated in Hong Kong. Useful Metal Products Company Limited ("UML") is a manufacturer of a variety of metal products and is also a Hong Kong incorporated private limited company. SIL has been supplying UML with sheet iron for some time. It is the practice of SIL to include a retention of title clause in its contracts to supply its customers with sheet iron on credit.

Two months ago, SIL entered into an agreement for the sale of goods with UML (the "Agreement") whereby SIL agreed to sell a quantity of sheet iron to UML at the price of HK\$6 million. Under the Agreement, SIL must deliver the sheet iron to UML within two months upon the signing of the Agreement and UML must pay HK\$6 million to SIL within 30 days upon delivery of the sheet iron to UML.

The Agreement contains a retention of title clause under which the ownership of the sheet iron will not pass to UML and will remain vested in SIL until UML has fully paid for the sheet iron, regardless of whether the sheet iron has been used by UML or not, subsequent to receiving delivery from SIL.

The sheet iron was duly delivered to UML, which resold part of it to third parties in the normal course of their business. However, SIL has not received full payment from UML and an amount of HK\$3 million is still outstanding. Recently, UML has become insolvent and is in liquidation.

Two days later, the liquidator certified that about half of the sheet iron delivered by SIL had not been used and remained in UML's inventory.

Required:

- (a) Explain what a retention of title clause is and the purpose of including this clause in a sale of goods agreement.

(4 marks)

- (b) Analyse whether SIL can enforce the retention of title clause under the Agreement against the liquidator in respect of the unused sheet iron in UML's inventory.

(6 marks)

Question 3 (15 marks – approximately 27 minutes)

High Gains Company Limited ("HGL") is a Hong Kong incorporated private limited company engaged in the manufacturing of pharmaceutical products. Judy is the sole shareholder and director of HGL. When Judy set up HGL two years ago, she engaged Ernest as the Product and Business Development Manager and Edith as the Purchasing Manager of HGL. HGL has been making significant profits since its incorporation because a few products manufactured by HGL have been very popular.

Ernest's wife Bobo was diagnosed with cancer a few weeks ago and was advised by doctors to go through a very expensive operation urgently. Ernest was very upset because he could not afford to pay for the operation. It suddenly occurred to him that Lily, the Marketing Manager of HGL's main competitor known as Good Circle Company Limited ("GCL"), had offered to pay him a significant sum of money on GCL's behalf if he would agree to disclose to GCL the formula of Product X (HGL's most popular product), a very effective product against skin allergies. In order to earn some quick money to solve his financial problem, Ernest stole the formula of Product X, gave it to Lily, and received a significant monetary reward from GCL.

Two months ago, Edith sustained heavy losses in her investment and borrowed a large amount of money from a bank. In order not to default in the repayment of her loan to the bank, Edith forged some invoices for the purchase of some expensive stationery and caused HGL to pay for goods which were never delivered to HGL.

Recently, GCL launched Product Y (a new product with healing effects similar to those of Product X). A few days ago, the newly employed Accounting Manager of HGL, Peter, told Judy that he was unable to find the expensive stationery ordered by Edith in the inventory. Judy decided to make an investigation into these two matters. Both Ernest and Edith are now very worried.

Required:

- (a) (i) In relation to employment law, explain what implied duties owed by employees to the employer are.

(5 marks)

- (ii) On the basis of your answer in part (i), analyse whether the conduct of Ernest and Edith amounted to a breach of the implied duties of employees owed to the employer, and analyse what are the legal consequences, if any.

(4 marks)

- (b) Apply anti-corruption laws and analyse whether Ernest may have committed any criminal offence by stealing and selling the formula of HGL's most popular product (Product X) to GCL.

(3 marks)

Note: Candidates are only required to discuss anti-corruption laws.

- (c) Apply anti-corruption laws and analyse whether Edith may have committed any criminal offence by forging invoices and causing HGL to pay for goods which were not delivered.

(3 marks)

Note: Candidates are only required to discuss anti-corruption laws.

Question 4 (20 marks – approximately 36 minutes)

Timothy owns and operates a Hong Kong incorporated private limited company, Great Art Company Limited ("GAL"), which deals in expensive fine arts such as sculptures and paintings. Susanna is employed as the Executive Secretary of GAL. As Susanna has a bachelor's degree in fine arts, Timothy occasionally asks her to give him advice on the purchase of works of fine arts to be resold to clients. Timothy has, however, expressly told Susanna not to place orders for any artwork without obtaining his prior approval.

About a week ago, Susanna saw a painting at the grand opening of an art gallery, Excellent Art Gallery ("EAG"), with a price tag of HK\$200,000. Susanna thought it was a good bargain and placed an order for the painting without asking Timothy for approval. When the painting was delivered, Timothy was very pleased with what Susanna had done and asked her to take the painting to a wealthy client, Mr Rich, being confident that Mr Rich would be willing to buy it at HK\$300,000.

The next day, Susanna delivered the painting to the office of Mr Rich, who liked the painting very much and decided to buy it. He took the painting and promised to send a cheque to GAL in two weeks. After leaving Mr Rich's office, Susanna went to a café, Great Taste Café ("GTC"), to have breakfast. After having breakfast and while on her way back to her office in a taxi, Susanna suddenly felt great pain in her stomach and was taken to the closest hospital. Susanna was subsequently diagnosed to have suffered from food poisoning and it was found that other customers who visited GTC that day also suffered from food poisoning. Susanna had to stay at the hospital for ten days and incurred substantial medical costs.

While Susanna was still in the hospital, Mr Rich returned the painting because he was experiencing financial difficulties due to the unexpected decline of his business. At the same time, EAG sent an invoice to GAL to ask for payment for the painting. Timothy thinks that Susanna did not have the authority to place an order for the painting and is now wondering whether GAL is liable to pay for it.

Required:

- (a) In relation to agency law:
- (i) Explain the various ways of creation of agency. (4 marks)
 - (ii) Analyse whether GAL is liable to pay for the painting delivered by EAG. (6 marks)
- (b) In relation to the tort of negligence, explain the essential elements of negligence and analyse whether Susanna is entitled to bring a claim against GTC. (10 marks)

Question 5 (25 marks – approximately 45 minutes)

Adam, Bobo, and Celine are the sole shareholders and directors of a private limited company, Good Deal Limited ("GDL"), incorporated in Hong Kong to run an eco-friendly and sustainable garment business. Part of their corporate strategy is to borrow money from banks to finance their business by creating fixed and floating charges over assets of GDL such as property, inventories, and book debts. Therefore, they intend to seek professional advice on debt financing soon after the commencement of the operation of their business.

Unfortunately, GDL has not been able to get any business for six months after its incorporation despite the hard work of Adam, Bobo, and Celine. They are very disappointed, and Adam has suggested that GDL should apply for dormant status to save some costs if they are still unable to obtain any business in the following three months. Bobo and Celine have agreed with Adam's suggestion. Celine has even proposed that they should dissolve their company by de-registration to minimise their losses if GDL does not get any business within one year after its incorporation. Nevertheless, they have agreed to continue to work hard for the next six months.

Required:

In relation to company law:

- (a) (i) Explain what a debenture is. (2 marks)
- (ii) Explain and analyse what a fixed charge is and how a valid fixed charge can be created. (5 marks)
- (iii) Explain and analyse what a floating charge is and how a valid floating charge can be created. (8 marks)
- (b) With reference to the Companies Ordinance (Cap.622), explain how a company can apply for dormant status and explain the advantages of being a dormant company from the Companies Ordinance perspective. (4 marks)
- (c) Explain the requirements for deregistering a company. (6 marks)

Question 6 (15 marks – approximately 27 minutes)

Ricky is one of the general partners of a solicitor firm, Man, Chin, & Co ("MCC"), a limited partnership. MCC is the legal advisor of Sure Win Company Limited ("SWL"), a company listed on the Main Board of the Stock Exchange of Hong Kong. Ricky is a member of the project team of a colossal construction project in which SWL has been involved for months. A week ago, the Project Manager appointed by SWL, Michelle, disclosed to the project team that SWL had won the tender for the colossal construction project and the management of SWL should expect the share price of SWL to rise substantially after announcement of this piece of information. This piece of information was only known to the members of the project team and the management of SWL. Before the announcement of this piece of information to the public, Ricky bought a substantial number of shares of SWL. Three days ago, this piece of information was announced and the share price of SWL rose substantially. Ricky made considerable profit after selling the shares of SWL and thought of going into retirement.

The other partners of MCC in the partnership did not want Ricky to retire because Ricky was the most experienced partner of MCC in the partnership and had a good relationship with all the clients.

Ricky proposed that he could change his status from a general partner to a limited partner and thereby limit his risk.

Required:

(a) In relation to securities and futures law of Hong Kong:

- (i) Analyse the nature of the information disclosed by Michelle to Ricky.**
(3 marks)
- (ii) Analyse whether Ricky might have committed a criminal offence by dealing in the shares of SWL, and what are the legal consequences, if any.**
(7 marks)

(b) In relation to partnership law in Hong Kong:

- (i) Explain the difference(s) in the liability of a general partner and a limited partner of a limited partnership.**
(3 marks)
- (ii) Explain what MCC needs to do to comply with the legal requirements if Ricky decides to change his status from being a general partner to that of being a limited partner.**
(2 marks)

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